

Assignment of a Contract

You may have seen the phrase "and/or assigns" in offers to purchase, especially from real estate investors or wholesalers. This means the buyer can transfer their rights in the contract to someone else before closing.

An assignment of contract happens when one party (the assignor) gives their rights in a contract to another person (the assignee) but still remains responsible for the original contract.

Example:

Tyrese signs a one-year lease with Oleksandr to rent an apartment. Later, Tyrese gets transferred for work and assigns the lease to his friend, Emily.

- **Tyrese (Assignor)** transfers his lease rights to **Emily (Assignee)** in a separate agreement.
- **Oleksandr (Landlord)** is **not** part of this agreement.
- Emily agrees to:
 - Pay Tyrese \$2,700 for the assignment.
 - Pay rent on time and maintain the property.
 - Refund Tyrese any security deposit owed to him.

Remember, the original lease between Oleksandr and Tyrese is still valid. If Emily doesn't pay rent, Oleksandr will hold Tyrese responsible. Tyrese will then have to get the money from Emily.

Assignment Rules & Restrictions

- **An assignor can transfer their rights, but not their obligations.** The original party is still responsible unless officially released.
- **Most real estate contracts require the seller or landlord's approval before assignment.** Without this restriction, contracts are generally assignable.

Example:

Beauford Gillette signs a purchase contract with Simon Randall, using the phrase "Beauford Gillette and/or assigns." Before closing, Beauford assigns his rights to his cousin, Sylvester Morton.

- If Sylvester fails to complete the purchase, Beauford is still responsible unless the contract specifically releases him.
- Investors often use this method to sell their purchase rights for a profit without actually owning the property.

Assignment is a useful tool in real estate but comes with risks if the assignor is still responsible for the contract.